

A STOCK COMPANY



Golden Bear Insurance Company

1550 W. FREMONT STREET, STOCKTON, CA 95203

In Witness Whereof, Golden Bear Insurance Company, Inc. has caused this policy to be executed and attested.

A handwritten signature in black ink, appearing to read "Paul H. H. H.", written over a horizontal line.

President

A handwritten signature in black ink, appearing to be a stylized "H" followed by a flourish, written over a horizontal line.

Secretary

GOLDEN BEAR INSURANCE COMPANY

U.S. TREASURY DEPARTMENT'S OFFICE OF FOREIGN ASSETS CONTROL ("OFAC") ADVISORY NOTICE TO POLICYHOLDERS

No coverage is provided by this policyholder notice nor can it be construed to replace any provisions of "your" policy. "You" should read "your" policy and review your **Declarations** for complete information on the coverages "you" are provided.

This notice provides information concerning possible impact on your insurance coverage due to directives issued by The Office of Foreign Assets Control (OFAC).

Please read this Notice carefully.

The Office of Foreign Assets Control (OFAC) administers and enforces sanctions policy, based on Presidential declarations of "national emergency." OFAC has identified and listed numerous:

- Foreign agents;
- Front organizations;
- Terrorists;
- Terrorist organizations; and
- Narcotics traffickers;

As "Specially Designated Nationals and Blocked Persons." This list can be located on the United States Treasury's web site – <http://www.treas.gov/ofac>.

In accordance with OFAC regulations, if it is determined that "you" or any other insured, or any person or entity claiming the benefits of this insurance has violated U.S. sanctions law or is a Specially Designated National and Blocked Person, as identified by OFAC, this insurance will be considered a blocked or frozen contract and all provisions of this insurance are immediately subject to OFAC. When an insurance policy is considered to be such a blocked or frozen contract, no payments nor premium refunds may be made without authorization from OFAC. Other limitations on the premiums and payments also apply.

GOLDEN BEAR INSURANCE COMPANY

CLAIM REPORTING INFORMATION

Knowing what to do in the event of an earthquake and how to prepare are key to mitigating your risk of loss. The United States Geological Survey, USGS, website provides up-to-date information on earthquake occurrences in the United States and around the world. It also provides information on what to do before, during, and after an earthquake. Our Golden Bear "insureds" are encouraged to promptly review the USGS website at www.earthquake.usgs.gov and to participate in the Great ShakeOut Earthquake Drills conducted annually.

In the event that "you" suffer property loss caused by an earthquake or other Covered Peril, please report "your" claim within 90 days or as soon as reasonably possible, in one of three ways:

1. Email us at: claims@goldenbear.com, or
2. Call us during office hours: (209) 948-8191, Ext. 123 (between 8:30 a.m. and 5:00 p.m.), or
3. Submit an On-line claim form to: www.goldenbear.com

"Your" claim will be assigned to a Claims Consultant. He or she will send you a letter acknowledging "your" claim. If there is more than one "insured" scheduled on the policy, the Claims Consultant will communicate with the "first named insured" stated in the **Declarations**. Our Claims Consultant will also promptly contact "you" and make time to perform a claim investigation and damage assessment. Depending upon the scope of damage, "our" assessment may involve a physical inspection of "your" property or damaged business personal property with experts and/or appraisers. Benefit payments will be timely made upon acceptance of the proofs of claim.



Golden Bear Insurance Company

Difference In Conditions Declarations

Policy Number GFD03002371-03

Named Insured and Mailing Address	Producer
Rolling Hills Community Association of Rancho Palos Verdes No 1 Portuguese Bend Rd Rolling Hills, CA 90274	AmWINS Insurance Brokerage of California, LLC 221 Main Street Suite 580 San Francisco, CA 94105

Policy Period from **June 30, 2025** to **June 30, 2026** - 12:01 A.M. Standard Time at the mailing address

Premium Payment

In return for payment of the premium and subject to all the terms and conditions set form in this **Declarations** and contained in the forms and endorsements of this policy, "we" agree with "you" to provide the insurance as stated in this policy. The "First Named Insured" shown in this **Declarations** is responsible for payment of all premium. The premium is due and payable at inception.

Coverage Part	Premium/Fees
Difference In Conditions - Property Coverage Part	Premium \$10,795
	Policy Fee \$100
	Inspection Fee \$150
	C.I.G.A. Charge (if applicable) N/A
	Total Due at Inception \$11,045

Covered Property

- ☒ Building and other structures, including Building Ordinance
- ☒ Business Personal Property: Contents
- ☐ "Tenants Improvement and Betterments"
- ☒ Time Element Coverage(s) as follows: Extra Expense
- ☐ Other:

Covered Locations

Covered Locations are listed on the Schedule of Covered Locations and Values, GBDIC 0200 (06 14).

Forms and Endorsements Attached to and Forming a Part of the Policy

Coverage forms and endorsements attached at inception and included in this policy are listed on the Forms Schedule, GBDIC 0150 (06 14).

Limits of Liability

The most we will pay for loss or damage during this policy period, regardless of the number of "occurrences" or types of Covered Property, is the applicable Limit of Liability indicated below.

\$2,337,800	Per Occurrence and in annual aggregate as respects to "Earthquake" excluding "Earthquake Sprinkler Leakage"
\$2,337,800	Per occurrence and in annual aggregate as respects to "Flood."
\$2,337,800	Per occurrence and in annual aggregate as respects to All Other Perils not excluded.

Sublimits

The sublimits below do not increase the applicable Limits of Liability above on any Covered Property. These sublimits are within and not in addition to the applicable Limit of Liability.

\$215,530	Demolition Costs & Increase Costs of Construction
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Deductible

The deductibles applicable to this policy are:

Earthquake	10.00% Per Unit of Insurance
Flood	10.00% Per Unit of Insurance
All Other Perils	\$25,000

This policy is subject to a \$25,000 minimum per "occurrence" deductible.

Valuation

See Schedule of Covered Locations and Values, GBDIC 0200 (06 14).

GOLDEN BEAR INSURANCE COMPANY

COMMON POLICY CONDITIONS

This policy is subject to the following conditions:

A. CHANGES

This policy contains all agreements between “you” and “us” concerning the insurance afforded. The “first named insured” shown in the **Declarations** is authorized to make changes in the terms of this policy with “our” consent. Policy terms can be amended or waived only by endorsement issued by “us” and made a part of this policy.

B. EXAMINATION OF “YOUR” BOOKS AND RECORDS

“We” may examine and audit “your” books and records as they relate to this policy at any time during the policy period and up to three years afterwards.

C. INSPECTIONS AND SURVEYS

1. “We” have the right to:
 - a. Make inspections and surveys at any time;
 - b. Make reports on the conditions “we” find; and
 - c. Recommend changes.
2. “We” are not obligated to make any inspections, surveys, reports or recommendations and any such actions “we” do undertake shall relate only to the insurability of “your” property, the premiums to be charged, or “our” investigation of “your” claim. “We” are not obligated to provide “you” with a copy of our inspection report. “We” do not make safety inspections. “We” do not undertake to perform the duty of any person or organization to provide for the health or safety of workers or the public. “We” do not warrant that conditions:
 - a. Are safe or healthful; or
 - b. Comply with laws, regulations, codes or standards.
3. Paragraphs 1. and 2. of this condition apply not only to “us,” but also to any persons or entities we retain to conduct insurance inspections, surveys, reports, or recommendations for our underwriting or claim investigation purposes.

D. PREMIUMS

The “first named insured” shown in the **Declarations**:

1. Is responsible for the payment of all premiums; and
2. Will be the payee for any return premiums “we” pay.

E. REPRESENTATION ON APPLICATION WARRANTY

The following representations on application warranty apply to all Coverage Parts attached to this policy. By accepting this policy, "you" agree, represent and warrant that:

1. The statements and information contain in the application of insurance, including all statements, information and documents accompanying or relating to the application are:
 - a. Accurate and complete and no facts have been suppressed, omitted or misstated; and
 - b. Material to "us," and "we" have issued this policy in reliance upon them;
2. Any failure to fully disclose the information requested in the application for insurance, whether by omission or suppression, or any misrepresentation in the statements and information contained in the application for insurance, including all statements, information and documents accompanying or relating to the application, renders coverage for any claim(s) null and void and entitles "us" to rescind the policy from its inception;
3. The application for this policy is incorporated and made part of the policy by reference.

F. TRANSFER OF "YOUR" RIGHTS AND DUTIES UNDER THIS POLICY

"Your" rights and duties under this policy may not be transferred without "our" written consent except in the case of death of an individual insured. If "you" die, "your" rights and duties will be transferred to "your" legal representative but only while acting within the scope of duties as "your" legal representative. Until "your" legal representative is appointed, anyone having proper temporary custody will have "your" rights and duties but only with respect to that property.

G. SUIT AGAINST "US"

No one may bring a legal action against "us" under this policy unless:

1. All of the terms of the this policy have been complied with; and
2. The suit has been brought within one year after "you" first have knowledge of the loss. If any applicable law makes this limitation invalid, then suit must begin within the shortest period permitted by the law; and
3. The suit is filed in San Joaquin County, California.



Golden Bear Insurance Company

Named Insured: Rolling Hills Community Association of Rancho Palos Verdes

Policy Number: GFD03002371-03

Effective Date: June 30, 2025

FORMS SCHEDULE

It is understood and agreed the following forms and endorsements are a part of this policy:

<u>Form #</u>	<u>Ed. Date</u>	<u>Form Title</u>
		GB Policy Cover Page
GBDIC 0180	06 14	U.S. Treasury Department OFAC Advisory Notice to Policyholders
GBCR 0190	08 14	Claim Reporting Information
GBDIC 0100	06 14	Difference In Conditions Declarations
GBDIC 0101	06 14	Common Policy Conditions
GBDIC 0150	06 14	Forms Schedule
GBDIC 0175	06 14	Named Insured Endorsement
GBDIC 0185	01 23	Fraud Warning Notice
GBDIC 0200	06 14	Statement of Covered Locations and Values
GBDIC 0202	05 20	Difference in Conditions - Property Coverage Part
GBDIC 0402	06 14	Extra Expense Coverage
GBDIC 0407	12 14	Condominium or Homeowners Association Coverage
GBDIC 0501	06 14	Demolition and Increased Cost of Construction Coverage
GBDIC 0502	06 14	Contingent Liability from Operation of Building Laws Coverage
GBDIC 0700	06 14	Minimum Earned Premium
GBDIC 0900	06 14	Flood Endorsement
GBDIC 1400	06 14	California -- Cancellation and Nonrenewal
GBDIC 1450	01 18	Notice to Golden Bear Policy Holders



Golden Bear Insurance Company

NAMED INSURED ENDORSEMENT

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY

Named Insured: Rolling Hills Community Association of Rancho Palos Verdes

Policy Number: GFD03002371-03

Effective Date: June 30, 2025

Only persons or entities with a real property interest in the Covered Property or a legal interest in Covered Property other than realty at the Covered Location(s) at the time of loss or damage are eligible to be insureds, even if listed below and additional premium is paid. The following are Named Insureds:

Rolling Hills Community Association of Rancho Palos Verdes, a Non-Profit Corporation

The Rolling Hills Tennis Club

The Women's Community Club of Rolling Hills

Caballeros Del Rancho Palos Verdes, Inc. A Non-Profit Corporation, their subsidiaries and affiliates



THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

GBDIC 0185 01 23

FRAUD WARNING NOTICE

We are required to provide **you** with the Fraud Warning pertaining to the state of your mailing address as described in the Declarations. Fraud Warnings serve to alert you to the consequences of fraudulent conduct in an insurance transaction. Please heed the applicable state Fraud Warning.

Alabama:

“Any person who knowingly presents a false or fraudulent claim for payment of a loss or benefit or who knowingly presents false information in an application for insurance is guilty of a crime and may be subject to restitution, fines, or confinement in prison, or any combination thereof.”

Alaska:

“A person who knowingly and with intent to injure, defraud, or deceive an insurance company files a claim containing false, incomplete, or misleading information may be prosecuted under state law.”

Arizona:

For your protection Arizona law requires the following statement to appear on this form. “Any person who knowingly presents a false or fraudulent claim for payment of a loss is subject to criminal and civil penalties.”

Arkansas, Louisiana, New Mexico:

“Any person who knowingly presents a false or fraudulent claim for payment of a loss or benefit or knowingly presents false information in an application for insurance is guilty of a crime and may be subject to fines and confinement in prison.”

California:

For your protection California law requires the following to appear on this form: “Any person who knowingly presents false or fraudulent information to obtain or amend insurance coverage or to make a claim for the payment of a loss is guilty of a crime and may be subject to fines and confinement in state prison.”

Colorado:

“It is unlawful to knowingly provide false, incomplete, or misleading facts or information to an insurance company for the purpose of defrauding or attempting to defraud the company. Penalties may include imprisonment, fines, denial of insurance and civil damages. Any insurance company or agent of an insurance company who knowingly provides false, incomplete, or misleading facts or information to a policyholder or claimant for the purpose of defrauding or attempting to defraud the policyholder or claimant with regard to a settlement or award payable for insurance proceeds shall be reported to the Colorado Division of Insurance within the Department of Regulatory Agencies.”

Delaware, Idaho, Indiana:

“Any person who knowingly, and with intent to injure, defraud or deceive any insurer, files a statement of claim containing any false, incomplete or misleading information is guilty of a felony.”

District of Columbia:

"WARNING: It is a crime to provide false or misleading information to an insurer for the purpose of defrauding the insurer or any other person. Penalties include imprisonment and/or fines. In addition, an insurer may deny insurance benefits if false information materially related to a claim was provided by the applicant."

Florida:

“Any person who knowingly and with intent to injure, defraud, or deceive any insurer files a statement of claim containing any false, incomplete, or misleading information is guilty of a felony of the third degree.”

Kentucky:

“Any person who knowingly and with intent to defraud any insurance company or other person files a statement of claim containing any materially false information or conceals, for the purpose of misleading, information concerning any fact material thereto commits a fraudulent insurance act, which is a crime.”

Maine:

“It is a crime to knowingly provide false, incomplete or misleading information to an insurance company for the purpose of defrauding the company. Penalties may include imprisonment, fines or denial of insurance benefits.”

Maryland, Rhode Island:

Any person who knowingly or willfully presents a false or fraudulent claim for payment of a loss or benefit or who knowingly or willfully presents false information in an application for insurance is guilty of a crime and may be subject to fines and confinement in prison.”

Minnesota:

“A person who files a claim with intent to defraud or helps commit a fraud against an insurer is guilty of a crime.”

New Hampshire:

“Any person who, with a purpose to injure, defraud or deceive any insurance company, files a statement of claim containing any false, incomplete or misleading information is subject to prosecution and punishment for insurance fraud as provided in RSA 638:20.”

New Jersey:

“Any person who knowingly files a statement of claim containing any false or misleading information is subject to criminal and civil penalties.”

New York:

“Any person who knowingly and with intent to defraud any insurance company or other person files an application for insurance or statement of claim containing any materially false information, or conceals for the purpose of misleading, information concerning any fact material thereto, commits a fraudulent insurance act, which is a crime, and shall also be subject to a civil penalty not to exceed five thousand dollars and the stated value of the claim for each such violation.”

Ohio:

“Any person who, with intent to defraud or knowing that he is facilitating a fraud against an insurer, submits an application or files a claim containing a false or deceptive statement is guilty of insurance fraud.”

Oklahoma:

“WARNING: Any person who knowingly, and with intent to injure, defraud or deceive any insurer, makes any claim for the proceeds of an insurance policy containing any false, incomplete or misleading information is guilty of a felony.”

Oregon:

“Any person who knowingly and with intent to defraud any insurance company or other person files an application for insurance or statement of claim containing any materially false information or conceals for the purpose of misleading, information concerning any fact material thereto commits a fraudulent insurance act, which is a crime and subjects such person to criminal and civil penalties.”

Tennessee, Virginia, Washington:

It is a crime to knowingly provide false, incomplete, or misleading information to an insurance company for the purpose of defrauding the company. Penalties include imprisonment, fines, and denial of insurance benefits.

West Virginia:

“Any person who knowingly presents a false or fraudulent claim for payment of a loss or benefit or knowingly presents false information in an application for insurance is guilty of a crime and may be subject to fines and confinement in prison.”

GOLDEN BEAR INSURANCE COMPANY

SCHEDULE OF COVERED LOCATIONS AND VALUES

Named Insured: Rolling Hills Community Association of Rancho Palos Verdes

Policy Number: GFD03002371-03

Effective Date: June 30, 2025

The following locations are Covered Locations. The values stated herein for all coverages were submitted by "you" and relied upon by the "Company."

Covered Locations:

Coverages	Values	Valuation
<u>Location 1, Building 1: 1 Portuguese Bend Rd, Rolling Hills, CA 90274</u>		
Building including Building Ordinance Coverage A	\$1,900,000	Replacement Cost
Business Personal Property - Contents	\$75,000	Replacement Cost
Extra Expense	\$80,500	Actual Loss Sustained
<u>Location 1, Building 2: 1 Portuguese Bend Rd, Rolling Hills, CA 90274</u>		
Building including Building Ordinance Coverage A	\$105,300	Replacement Cost
Business Personal Property - Contents	\$2,500	Replacement Cost
Extra Expense	\$6,500	Actual Loss Sustained
<u>Location 1, Building 3: 1 Portuguese Bend Rd, Rolling Hills, CA 90274</u>		
Building including Building Ordinance Coverage A	\$75,000	Replacement Cost
Business Personal Property - Contents	\$2,500	Replacement Cost
Extra Expense	\$6,500	Actual Loss Sustained
<u>Location 1, Building 4: 1 Portuguese Bend Rd, Rolling Hills, CA 90274</u>		
Building including Building Ordinance Coverage A	\$75,000	Replacement Cost
Business Personal Property - Contents	\$2,500	Replacement Cost
Extra Expense	\$6,500	Actual Loss Sustained

GOLDEN BEAR INSURANCE COMPANY

DIFFERENCE IN CONDITIONS – PROPERTY COVERAGE PART

In return for “your” payment of the required premium, “we” will provide the coverage described in this **Difference In Conditions - Property Coverage Part**, subject to the **Declarations**, and all coverage forms, endorsements, and notices attached to this policy and identified in the **Forms Schedule** which may increase, limit, or exclude coverage stated in this **Difference In Condition - Property Coverage Part**.

This coverage is provided to Covered Property at "covered locations," when loss or damage is caused by a Covered Peril, subject to the Limits of Liability, sublimits, stated values, and deductibles shown in the **Declarations** and **Schedule of Covered Locations and Values**. Endorsements may contain separate deductibles or sublimits of insurance.

Throughout this policy, the words “you” and “your” refer to the persons or organizations shown as the "named insured" in the **Declarations**. The words “we,” “us,” “our,” and "company" mean Golden Bear Insurance Company.

Please read "your" policy carefully. Whenever a word or phrase appears in quotations, it has special meaning as stated in section VII. DEFINITIONS. These definitions apply to the entire policy, including all endorsements.

I. COVERAGE

"We" cover all risks of direct physical loss or damage to Covered Property indicated in the **Declarations** at locations shown in the **Schedule of Covered Locations and Values** when caused by a Covered Peril.

A. COVERED PROPERTY

1. BUILDING PROPERTY

This means buildings and structures at "covered locations" including:

- a. Completed additions;
- b. Fixtures, machinery, and equipment which are a permanent part of a covered building or structure;
- c. Outdoor furniture;
- d. Personal property owned by “you” and used to maintain or service a covered building or structure or its premises. This includes air-conditioning equipment; fire extinguishing apparatus; floor coverings; and appliances for refrigerating, cooking, dish washing, and laundering;

2. BUSINESS PERSONAL PROPERTY

This means “your” business personal property in buildings or structures at “covered locations,” or in the open (or in vehicles) on or within 100 feet of “covered locations.” including:

- a. “Your” business contents, including furniture, fixtures, machinery and equipment, or such business personal property of others in "your" care, custody or control and for which "you" are contractually liable in the event of direct physical loss or damage.
- b. “Stock.”

3. "TENANT'S IMPROVEMENTS AND BETTERMENTS"

This means fixtures, alterations, installations, or additions comprising part of buildings or structures at "covered locations" when:

- a. Made a part of the building or structure occupied, but not owned, by "you"; and
- b. "You" acquired or made at “your” expense but cannot legally remove.

B. TIME ELEMENT COVERAGE

This means coverage for loss of business income, extra expense, rental value and other business interruptions incurred as a result of physical damage to Covered Property caused by a Covered Peril. Time Element coverages applicable to "your" policy, if any, are specifically described in attached endorsements.

C. SPECIAL LIMITS OF COVERAGE

1. DEBRIS REMOVAL

"We" cover debris removal, subject to the following limitations:

- a. The limited coverage provided for debris removal under this section does not increase the applicable Limits of Liability on any Covered Property. This coverage is part of and not in addition to the applicable Limit of Liability shown in the **Declarations**.
- b. "We" will pay the reasonable expense incurred by "you" to remove debris of Covered Property caused by or resulting from a Covered Peril that occurs during the policy period. Debris removal expenses will be paid only if "you" timely report that "you" have incurred these expenses to "us" in writing, and no later than 180 days, of the date of direct physical loss or damage.
- c. The most "we" will pay for debris removal expense is limited to 25% of the amount "we" pay under this policy for direct physical loss or damage to the Covered Property that has sustained loss or damage.
- d. This coverage does not include:
 - (1) Loss occasioned by the enforcement of any state or municipal law or ordinance requiring the demolition of any portion of the building which has not suffered loss by any Covered Peril, or
 - (2) The cost to extract "pollutants" from land or water, and all costs or expenses incurred by "you" or on "your" behalf to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize "pollutants."

2. "FUNGUS," WET ROT, DRY ROT AND BACTERIA

"We" cover "fungus," wet rot, dry rot and bacteria, subject to the following limitations:

- a. The limited coverage provided for "fungus," wet or dry rot or bacteria under this section does not increase the applicable Limits of Liability on any Covered Property.
- b. "We" cover loss or damage caused by "fungus," wet or dry rot or bacteria only when it is the result of a Covered Peril that occurs during the policy period shown in the **Declarations** and only if all reasonable means were used to save and preserve the property from further damage at the time of and after that occurrence.
- c. The most "we" will pay for loss or damage caused by "fungus," wet or dry rot or bacteria is \$15,000. As used in this section, the term loss or damage means:
 - (1) Direct physical loss or damage to Covered Property caused by "fungus," wet or dry rot or bacteria, including the cost of removal of the "fungus," wet or dry rot or bacteria;
 - (2) The cost to tear out and replace any part of the building or other property as needed to gain access to the "fungus," wet or dry rot or bacteria; and
 - (3) The cost of testing performed after removal, repair, replacement or restoration of the damaged property is completed, provided there is a reason to believe that "fungus," wet or dry rot or bacteria are present.
- d. The coverage described under 2.c. is an aggregate limit and the most "we" will pay, regardless of the number of claims made during the policy period. "We" will not pay more than this sublimit even if the "fungus," wet or dry rot or bacteria continues to be present or active, or recurs, in a later policy period.

3. "POLLUTANTS"

"We" cover "pollutants," subject to the following limitations:

- a. The limited coverage provided for "pollutants" under this section does not increase the applicable Limits of Liability on any Covered Property.
- b. "We" cover loss or damage caused by "pollutants" only when it is the result of a Covered Peril that occurs during the policy period shown in the **Declarations**, and only if all reasonable means were used to save and preserve the property from further damage at the time of and after that "occurrence."
- c. The most "we" will pay for loss or damage caused by "pollutants" is \$10,000. As used in this section, the term loss or damage means:
 - (1) Direct physical loss or damage to Covered Property caused by "pollutants," including the cost of removal of the "pollutants";
 - (2) The cost to tear out and replace any part of the building or other property as needed to gain access to the "pollutants";
 - (3) The cost of testing performed after removal, repair, replacement or restoration of the damaged property is completed, provided there is a reason to believe that "pollutants" are present.
- d. The coverage described under 3.c. is an aggregate limit and the most "we" will pay, regardless of the number of claims made during the policy period. "We" will not pay more than this sublimit even if the "pollutants" continue to be present in a later policy period.

D. PROPERTY EXCLUDED

"We" do not cover loss or damage to the following property, unless coverage is added by an endorsement.

1. Accounts, bills, deeds, evidences of debt, currency, money, notes, securities, stamps, original drawings and specifications, letters of credit, passports, tickets (including lottery tickets), "valuable papers and records," including those which exist on electronic or magnetic media;
2. Aircraft or watercraft, including their motors, equipment, and accessories, except when this property is manufactured, warehoused, or held for sale by "you";
3. Animals, including also birds and fish;
4. Automobiles and vehicles, including cars, trucks, motorcycles, motor scooters, tractors, trailers, and similar conveyances designed for highway use;
5. Bridges, dams, tunnels, trestles, culverts, swales, pilings, piers, bulkheads, wharves or docks;
6. Contraband or illegal property, whether in violation of state or federal law;
7. Contractors' equipment and heavy machinery used for construction;
8. Exported and imported property that is covered under any ocean marine cargo insurance policy or any similar policy covering exports and imports;
9. Fine art, including, but not limited to statues, stained glass windows, sculptures, paintings, carvings, and wall hangings whether owned or in "your" care, custody and control;
10. Grain, hay, straw, or other crops; trees, shrubs, flowers, or lawns, except when these crops or plants are held for sale or when used for decorative purposes inside buildings;
11. Jewelry, watches, watch movements, jewels, pearls, precious or semi-precious stones, gold, silver, platinum, alloys, bullion, or items consisting primarily of precious metals, furs or fur trimmed garments;

12. Land or land value, including land on which the Covered Property is located; or air or water, including underground or surface water, or any mineral or water rights therein; or the cost of excavation, grading, backfilling or filling;
13. Mobile homes occupied by the "insured," persons other than the "insured," or in the care, custody and control of the "insured." This includes all property belonging to and/or constituting a permanent part of any mobile home, and the furniture, fixtures, equipment, machinery, and improvements and betterments therein. Improvements and betterments include alterations, installations or additions comprising a part of any mobile home and any expenses of such improvements;
14. Paved surfaces, including roadways, walks, patios, or other paved surfaces;
15. Pools, spas, hot tubs, fountains, fences, sport/game courts, radio or television antennas; cellular towers and satellite dishes;
16. Property in the course of construction including materials and supplies therefore;
17. Property in transit, including but not limited to shipments in the mail;
18. Property sold by "you" under conditional sales, trust agreements, installment payments or other deferred payment plans after it has been delivered to customers;
19. Property covered under another insurance policy, except as stated in Section V. LOSS CONDITIONS, E. Other Insurance.
20. Retaining walls not attached to the buildings and not identified in the **Schedule of Covered Locations and Values**;
21. Signs and solar panels not affixed to a building or structure;
22. Utilities, whether above ground or below ground, including but not limited to pipes, flues, tanks, drains, wells, tunnels, water lines, sewer lines, electrical transmission lines, power transmission, distribution lines, telephone lines, cable lines, antennas, satellite dishes, propane tanks and pipelines relating thereto, and natural gas pipelines.

E. COVERED PERILS

"We" cover all risks of direct physical loss or damage from any external cause, unless the loss or damage is caused by a peril that is excluded.

F. PERILS EXCLUDED

"We" do not cover loss or damage directly or indirectly caused by or resulting from, any of the following Perils Excluded. Such loss or damage is excluded regardless of any other cause, event, or peril that contributes concurrently or in sequence to the loss or damage, except where stated below. Perils Excluded include:

1. Acts or decisions, including the failure to act or decide, of any person, group, organization, or governmental body;
2. Aircraft or vehicles, including loss or damage by objects falling from aircraft as well as loss or damage caused by or resulting from vehicles owned by "you" or operated in the course of "your" business;
3. Animals, including birds, insects, or vermin;

4. Any fraudulent scheme, trick, device or false pretense perpetrated upon "you" or upon any person(s) to whom the property may be entrusted, including Voluntary parting with the title to or possession of any property;
5. Any peril covered under the All Risk Policy or equivalent other policies maintained by "you" as required in Section VI. OTHER CONDITIONS, A. All Risk Warranty, whether or not this other insurance has been maintained by "you" at the time of the loss or damage;
6. "Certified Acts of Terrorism" and "Terrorism";
7. Civil authority, including seizure, confiscation, destruction, or quarantine of property;
8. Criminal, fraudulent, or illegal acts by third persons or by:
 - a. "You";
 - b. Others who have an interest in the property;
 - c. Others to whom "you" have entrusted the property;
 - d. "Your" partners, officers, directors, trustees, joint adventurers; or
 - e. The employees or agents of a., b., c., or d. above, whether or not they act at the "covered location";
9. Collapse, meaning:
 - a. An abrupt falling down or caving in of a building or any part of a building with the result that the building or part of the building cannot be used for its intended purpose;
 - b. Loss of structural integrity, including separation of parts of the property or property in danger of falling down, or caving in; or
 - c. Any cracking, bulging, sagging, bending, leaning, settling, shrinkage, or expansion as such condition relates to a. or b. above;
10. Concurrent perils:
 - a. "Earthquake" inducing a fire. This means that "we" will not pay for loss or damage resulting from an "earthquake" induced fire;
 - b. "Earthquake" inducing an explosion. This means that "we" will not pay for loss or damage resulting from an "earthquake" induced explosion;
 - c. "Earthquake" inducing "volcanic action." This means that "we" will not pay for loss or damage resulting from "earthquake" induced "volcanic action";
 - d. "Earthquake" inducing a "tsunami." This means that "we" will not pay for loss or damage resulting from an "earthquake" induced "tsunami";
 - e. "Earthquake" inducing a "flood." This means that "we" will not pay for loss or damage resulting from "earthquake" induced "flood," unless "flood" coverage is endorsed onto this policy;
 - f. "Earthquake" inducing "sprinkler leakage." This means that "we" will not pay for loss or damage resulting from an "earthquake" induced sprinkler leakage, unless "Earthquake Sprinkler Leakage" coverage is endorsement onto this policy;
 - g. "Earthquake" induced by "Hydraulic fracturing." This means that "we" will not pay for damage caused by an "earthquake" resulting from "Hydraulic fracturing";
 - h. "Earthquake" induced by a nuclear explosion, whether or not a "Certified Acts of Terrorism." This means that "we" will not pay for damage caused by an "earthquake" resulting from a nuclear explosion;
11. Dampness of atmosphere, dryness of atmosphere, extremes or changes of temperature or barometric pressure, shrinkage, evaporation, loss of weight, rust or corrosion;
12. Delay, loss of market, loss of use, interruption of business, consequential loss of any nature;

13. Denial of service; including but not limited to authorized or unauthorized direction of a high volume of messages or inquiries to websites or e-mail destinations, effectively denying, interrupting or limiting legitimate access, including but not limited to spamming or phishing;
14. Defects, errors, omissions or negligence pertaining to:
 - a. Land use;
 - b. The design, specification, construction, workmanship, installation, or maintenance of property;
 - c. Planning, zoning, development, sitting, surveying, grading, or compaction; or
 - d. Maintenance of property (including land, structures, or improvements);
15. Disappearance of property or loss or shortage of property disclosed on taking inventory;
16. Enforcement of any ordinance or law regulating the construction, use, repair or demolition of any building or structure insured hereunder. This exclusion applies whether the loss results from an ordinance or law that is enforced even if the property has not been damaged; or the loss results from the increased costs incurred to comply with an ordinance or law in the course of construction, repair, renovation, remodeling or demolition of property, or removal of its debris, following a physical loss to that property;
17. "Earth Movement";
18. "Earthquake Sprinkler Leakage," unless "Earthquake Sprinkler Leakage" coverage is endorsed onto this policy;
19. Electrical, magnetic or electromagnetic energy that damages, disturbs, disrupts, or otherwise interferes with any:
 - a. Electrical or electronic wire, device, appliance, system or network;
 - b. Network utilizing cellular or satellite technology; or
 - c. Electrical appliances, fixtures or wiring caused by electrical currents artificially generated, except loss or damage to this property resulting from a Covered Peril.

For the purpose of this exclusion, electrical, magnetic or electromagnetic energy includes but is not limited to:

- a. Electrical current, including arcing;
 - b. Electrical charge produced or conducted by a magnetic or electromagnetic field;
 - c. Pulse of electromagnetic energy; or
 - d. Electromagnetic waves or microwaves.
20. Explosion, including, but not limited to, the explosion of gases or fuel within the furnace of any machine or machinery, or fired vessel, or within the flues or passages through which the gases of combustion pass, including but not limited to steam boilers, steam pipes, steam turbines, or steam engines. Explosion also includes:
 - a. The rupture, bursting, or operation of pressure relief devices; and
 - b. The rupture or bursting due to expansion or swelling of the contents of any building, caused by or resulting from water;
21. Falling objects, including loss or damage to personal property in the open and to the interior of a building or property inside a building;

22. Failure of power, communication systems, water or other utility services supplied to the “covered location,” however caused. Failure of any utility service includes surges, lack of sufficient capacity and reduction in supply. Communication systems includes service relating to Internet access or access to any electronic, cellular or satellite network;
23. Failure, malfunction or inadequacy of any of the following:
- a. Computer hardware, including microprocessors;
 - b. Computer application software;
 - c. Computer operating systems and related software;
 - d. Computer networks;
 - e. Microprocessors (computer chips) not part of any computer system;
 - f. Any other computerized or electronic equipment or components; or
 - g. Any other computer-related products, services, data or functions;
24. Fire and/or lightning; leakage from fire extinguishing equipment;
25. "Flood," except when "flood" coverage is endorsed onto this policy;
26. Freezing of water; other liquids; powder; or molten material that leaks or flows from plumbing, heating, air-conditioning systems, or appliances;
27. "Fungus," wet rot, dry rot and bacteria; except "fungus" caused by a Covered Peril and subject to the limitation stated in Section I. C. Special Limits of Coverage, 2." Fungus";
28. Geomagnetic storms, solar flares, solar eruptions or bursts including plasma bubbles or ejections, magnetic field or magnetosphere fluctuations or disruptions, comets, asteroids, meteorites, or any falling spacecraft, part or fragment thereof;
29. Hazard increased by any means within “your” knowledge or “your” control;
30. "Hydraulic fracturing";
31. Infidelity or dishonesty by "you," any of "your" partners, members, officers, managers, employees (including leased or temporary employees), directors, trustees, authorized representatives or anyone to whom “you” entrust the property for any purpose:
- a. Whether acting alone or in collusion with others; or
 - b. Whether or not occurring during the hours of employment;
32. Interference, blockage, or prevention of ingress or egress to the Covered Property;
33. Leakage of contents, breakage of glass or similar fragile materials, marring, scratching, rust or corrosion, exposure to light, contamination, change in flavor or color or texture or finish;
34. Mechanical breakdown, including rupture or bursting caused by centrifugal force;
35. Neglect, meaning "your" failure to use all reasonable means to maintain buildings, structures, or business personal property before an "occurrence" so that Covered Property is not susceptible to loss or damage.
36. Nuclear reaction, nuclear radiation, or radioactive contamination, whether controlled or uncontrolled; whether caused by natural, accidental, or artificial means, and whether such loss or damage be direct or indirect, proximate or remote, or be in whole or in part caused by, contributed to, or aggravated by the Covered Peril(s) insured against in this policy;

37. "Pollutants," including the presence of any "pollutant" in any building or structure, or loss or damage caused by or resulting from the discharge, dispersal, seepage, migration, release or escape of "pollutants," including any cost, fine, or expense to:
- a. Extract "pollutants" from land, air or water;
 - b. Remove, restore, replace, encapsulate, cover, or any manner of control or abate "polluted" land, air or water from any goods, products, stock, contents, buildings or structures;
 - c. Construct, repair, or remove debris necessitated by the enforcement of any law or ordinance regulating the "pollutant";
 - d. Investigate any loss, injury, or damage to polluted property;
 - e. Cover "your" loss of use of polluted property;

Except "pollutants" caused by a Covered Peril and subject to the limitation stated in Section I. C. Special Limits of Coverage, 3. "Pollutants";

38. Riot or civil commotion, including, but not limited to:

- a. Acts of striking employees while occupying the described location; and/or
- b. Looting occurring at the time and place of a riot or civil commotion;

39. Settling, cracking, shrinking, bulging, or expanding of pavements, footings, foundations, walls, ceilings, or roofs;

40. Sinkhole collapse, including but not limited to loss or damage caused by the sudden sinking or collapse of land into underground empty spaces created by the action of water on soil and/or bedrock, or the sinking or collapse of land into man-made underground cavities;

41. Smog, ash, soot, smoke, vapor, or gas or any airborne chemicals from agricultural smudging, industrial operations, or forest, brush, or urban fires;

42. Sonic boom;

43. "Sprinkler leakage";

44. Theft, pilferage, burglary, larceny, or attempted theft;

45. "Tsunami";

46. Vandalism and malicious mischief, meaning willful and malicious damage to, or destruction of Covered Property;

47. "Volcanic action";

48. War, meaning:

- a. Declared war, undeclared war, civil war, insurrection, rebellion, revolution, civil war, usurped power or action taken by governmental authority in hindering, combating or defending against such an occurrence;
- b. Seizure or destruction under quarantine or customs regulation, confiscation by order of any government or public authority;
- c. A hostile or warlike act in times of peace or war, including action in combating or defending against an actual, impending or expected attack by:
 - (1) any government or sovereign power (de jure or de facto);
 - (2) any authority maintaining or using military, naval or air forces;
 - (3) any military, naval or air forces; or

- (4) by any agent of any such government, power authority or forces, or by a military force or by military personnel;
 - d. The destruction, seizure, or use of the property for a military purpose; or
 - e. The discharge of a nuclear weapon, even if accidental;
- 49. "Water damage", unless the efficient proximate cause of loss or damage is a covered peril;
- 50. Wear, tear, marring, scratching, depreciation, mechanical breakdown, derangement, inherent vice, latent defect, gradual deterioration, decay, nesting or infestation, moth, vermin, rodents, termites or other insects including larvae or pupae thereof;
- 51. Weather conditions, including, but not limited to:
 - a. Windstorm or hail;
 - b. Frost or cold weather;
 - c. Ice, rain, snow or sleet, whether driven by wind or not; and
 - d. Loss or damage to the interior or exterior of any building, or the property inside or outside the building, caused by rain, snow, sand or dust, whether driven by wind or not;
 - e. Weight of snow, hail, ice or sleet, including loss or damage to personal property outside of buildings.

II. DEDUCTIBLE CLAUSE

All claims for loss or damage to Covered Property arising out of a "single loss" will be adjusted as one claim. "We" will then be liable to pay "you" the adjusted amount which exceeds the deductible. "Your" policy contains a Per Unit, Per Location, or a Per Policy deductible as described below unless another deductible option has been added by endorsement. The deductible option and percentage deductible which applies to this policy and "your" claim is shown in the **Declarations**. If two or more Covered Perils contribute to an "occurrence," and one Limit of Liability pertains to the loss, the total deductible will not exceed the largest deductible applicable.

A. Per Unit Of Insurance Deductible

If the deductible shown in the **Declarations** is Per Unit of Insurance, the deductible is calculated by applying the percentage stated in the **Declarations** to the stated value of each Unit of Insurance that sustains loss or damage from an "occurrence." Stated values are shown on the **Schedule of Covered Locations and Values**. All claims are subject to a \$25,000 minimum per "occurrence" deductible. Each of the following is considered a separate Unit of Insurance:

1. Each separate building;
2. All business personal property located at each separate building;
3. "Tenant's improvements and betterments" at each separate building;
4. Time Element exposures (the sum of Business Income, Extra Expense, Rental Value, and any other time element coverages endorsed) applicable at each location covered;
5. All other coverages with respect to each separate location, whether or not such location has more than one unit as defined in a., b., c. and d. above.

Example – Application of Per Unit of Insurance Deductible

One location with one building (building, contents, and time element are separate coverages; stated values equal the limits of liability):

Building #1 - The total stated value of the building is \$1,000,000; contents is \$500,000, and business income (time element coverage) is \$200,000.

The example loss at scheduled Location #1 is \$200,000 in building damage, \$600,000 in contents damage, and \$100,000 for business income loss.

Deductible = 10%

Step 1: Building deductible = \$1,000,000 x 10% = \$100,000

Step 2: Contents deductible = \$500,000 x 10% = \$50,000

Step 3: Time Element deductible = \$200,000 x 10% = \$20,000

Step 4: \$200,000 (building loss) - \$100,000 (building deductible) = \$100,000 ("our" liability)

Step 5: \$600,000 (building personal property loss) - \$50,000 (contents deductible) = \$550,000. However, as "our" liability will not exceed the stated value or Limits of Liability stated in the **Declarations**, "our" liability respecting contents in this example, will not exceed \$500,000.

Step 6: \$100,000 (time element loss) - \$20,000 (time element deductible) = \$80,000 ("our" liability)

The most "we" will pay is \$680,000. That portion of the exemplar loss not covered due to the application of Per Unit deductibles is \$220,000. Note that in the example above, the Time Element deductible is below the \$25,000 minimum deductible. This means that if there is physical damage to Covered Property, but Covered Property damage does not exceed the applicable deductibles, but business interruption losses do, the \$25,000 minimum deductible would be applied.

B. Per Location Deductible

If the deductible shown in the **Declarations** is Per Location, the deductible is calculated by applying the percentage stated in the **Declarations** to the total amount of all stated values for Covered Property, including Time Element exposures (Business Income, Extra Expense, Rental Value, and any other time element coverages endorsed), applicable to the location where loss or damage has occurred, regardless of whether all Covered Property at the "covered location" incurs loss or damage. Stated values are shown in the **Schedule of Covered Locations and Values**. All claims are subject to a \$25,000 minimum per "occurrence" deductible.

Example – Application of Per Location Deductible

Two locations with two buildings at location #1 and one building at location #2 (stated values equal the limits of liability):

Location #1, building #1 - The total stated value of the building, building personal property and time element is \$2,000,000. The example loss for building, contents and time element at building #1 = \$800,000

Location #1, building #2 - The total stated value of the building, building personal property and time element is \$150,000. The example loss for building, contents and time element at building #2 = \$20,000

Location #2, Building #1 – The total stated value of the building, building personal property and time element is \$750,000. The example loss for building, contents and time element at Location #2 = \$150,000.

Deductible = 10%

Step 1: Example loss at Location #1 = \$800,000 + \$20,000 = \$820,000

Step 2: Example loss at Location #2 = \$150,000

Deductible applied to Location #1 = (\$2,000,000 + \$150,000) x 10% = \$215,000

Deductible applied to Location #2 = \$750,000 x 10% = \$75,000

The most "we" will pay at Location #1 is \$605,000. The most "we" will pay at Location #2 is \$75,000. That portion of the exemplar loss not covered due to the application of the deductible is \$290,000.

C. Per Policy Deductible

If the deductible shown in the **Declarations** is Per Policy, the deductible is calculated by applying the percentage stated in the **Declarations** to the total stated value of all Covered Property, including Time Element exposures (Business Income, Extra Expense, Rental Value, and any other time element coverages endorsed) at all locations covered by this policy as described in the **Schedule of Covered Locations and Values**, regardless of whether all Covered Property or all "covered locations" incurs loss or damage. All claims are subject to a \$25,000 minimum per "occurrence" deductible.

Example – Application of Per Policy Deductible

Two locations with one building at each location (stated values equal the limits of liability):

Location #1 - The total stated value of the building, contents and time element is \$3,000,000. The example loss for building, business personal property and business income at Location #1 = \$1,300,000

Location #2 – The total stated value of the building, contents and time element is \$500,000.
The example loss for building, business personal property and time element at building #2 = \$0

Deductible = 10%

Step 1: $\$3,000,000 + \$500,000 = \$3,500,000$ (total policy stated values)

Deductible applied to the policy = $\$3,500,000 \times 10\% = \$350,000$

The most "we" will pay is \$950,000. That portion of the exemplar loss not covered due to the application of the deductible is \$350,000.

III. YOUR DUTIES AFTER LOSS

- A. Cooperation.** "You" must cooperate with "us" in the investigation and settlement of the claim.
- B. Damaged Property.** As often as may be reasonably required, "you" must permit "us" to inspect the property proving the loss or damage and examine "your" books and records. "You" must also permit "us" to take samples of damaged and undamaged property for inspection, testing and analysis, and permit "us" to make copies from "your" books and records.
- C. Examination.** "You" must submit to examination under oath in matters connected with the loss as often as "we" reasonably request and must give "us" sworn statements when requested pertaining to the facts of loss and claim. If more than one person is examined, "we" have the right to examine and receive statements separately and not in the presence of others.
- D. Notice of Loss.** In case of a loss, "you" must give "us" prompt notice. A Claim Reporting Information notice is attached to this policy and provides "our" contact information. "You" may report "your" claim to "us" by phone, mail, email, or via our website: www.goldenbear.com. "Your" notice should include a description of the property loss or damage involved, and a description of how, when, and where the loss or damage occurred.
- E. Proof of Loss.** "You" must send "us," within 60 days after "our" request, a signed, sworn proof of loss. This must include the following information:
 - 1. The time, place, and circumstances of the loss;
 - 2. Other policies of insurance that may cover the loss;
 - 3. "Your" interest and the interests of all others in the property involved, including all mortgages and liens;

4. Changes in title or occupancy of the Covered Property during the policy period;
 5. Detailed estimates for repair or replacement of Covered Property; and
 6. An inventory of damaged and undamaged Covered Property showing in detail the quantity, description, cost, actual cash value, and amount of the loss. "You" must attach to the inventory copies of all bills, receipts, and related documents that substantiate the inventory.
- F. Protection of Property from Loss or Damage- During and After Loss.** "You" must take all reasonable steps to protect Covered Property at the time of and after an "occurrence" to avoid further loss or damage. If a Covered Peril has already caused loss or damage to Covered Property, "we" will pay the reasonable costs incurred by "you" for necessary repairs or emergency measures performed solely to protect Covered Property from further damage by a Covered Peril. "You" must keep an accurate record of such costs. "We" will not pay for such repairs or emergency measures performed on property which has been damaged by an Excluded Peril. This coverage is subject to the deductible and does not increase the applicable Limit of Liability shown in the **Declarations**.
- G. Protection of Property - Emergency Removal to Prevent Loss.** "We" pay for any direct physical loss to Covered Property while it is being moved or being stored to prevent a loss caused by a Covered Peril. This coverage applies for up to ten days after the property is first moved, but in no event will it extend past the date on which this policy expires. This coverage is subject to the deductible and does not increase the applicable Limit of Liability shown in the **Declarations**.
- H. Records.** "You" must produce records, including tax returns and bank records and microfilms, of all receipts, cancelled checks, debits or credit charges relating to value, loss, and expense, and permit copies and extracts to be made of them as often as "we" reasonably request.
- I. Voluntary Payments.** "You" must not, except at "your" own expense, voluntarily make any payments, assume any obligations, pay or offer any rewards, or incur any other expenses except as respects protecting property from further damage.

IV. VALUATION

- A. Actual Cash Value.** When actual cash value is shown in the **Declarations** for Covered Property or where replacement cost coverage is not available as stated in paragraphs C. through G. below, the value of Covered Property will be based on the actual cash value at the time of the loss. Actual cash value is the amount to repair or replace the property less a fair and reasonable deduction for physical depreciation, based on the condition of the property at the time of loss.
- B. Replacement Cost.** When Replacement Cost is shown in the **Declarations** for Covered Property, the value of Covered Property will be based on the replacement cost without any deduction for depreciation.

The replacement cost is limited to the cost of repair or replacement with similar materials on the same site and used for the same purpose. The payment shall not exceed the amount "you" spend to actually repair or replace the lost or damaged property.

Replacement cost valuation does not apply until the lost or damaged property is repaired or replaced. "You" may make a claim for actual cash value before repair or replacement takes place, and later for the replacement cost if "you" notify "us" of "your" intent within 180 days after the loss. "You" must show proof of occupancy or equivalent evidence that the building or structure was put to its intended business use for replacement costs over actual cash value to be paid.

This replacement cost provision does not apply to paragraphs C. through G. below.

C. Merchandise Sold. The value of merchandise that “you” have sold but have not delivered will be based on the purchase price less expenses “you” did not incur.

D. Pair, Set, or Parts.

1. Pair or Set: In case of loss or damage to any part of a pair or set “we” may:
 - a. Repair or replace any part to restore the pair or set to its value before the loss; or
 - b. Pay the difference between the value of the pair or set before and after the loss.

The loss of a part of the pair or set is not considered a total loss of the pair or set.

2. Parts: In case of loss or damage to any part of Covered Property consisting of several parts when complete, “we” will only pay for the value of the lost or damaged part.

E. "Stock."

1. "Stock" shall be valued as follows:
 - a. Raw "stock," supplies and other merchandise not manufactured by the "you," is valued at the replacement cost;
 - b. "Stock" in process, is valued at the cost of raw "stock" plus labor expended, including the proper proportion of overhead charges.
 - c. Finished "stock" is valued at the selling price, less all discounts and expenses not incurred.

F. “Tenant’s Improvements and Betterments.” The value of “Tenant’s Improvements and Betterments” losses will be based on a portion of “your” original cost if not repaired or replaced within a reasonable time. This portion is determined as follows:

1. Divide the number of days from the date of the loss to the expiration date of the lease by the number of days from the date of installation to the expiration date of the lease; and
2. Multiply the figure determined in F.1 above by the original cost.

If “your” lease contains a renewal option, the expiration of the lease in this procedure will be replaced by the expiration of the renewal option period.

“Tenant’s Improvements and Betterments” losses are not covered if repaired or replaced at another’s expense.

G. Salvage Value. Any value that may be realized from salvage will not diminish the amount owed by "you" under the **Deductible** provision of this policy nor will it reduce the applicable Limit of Insurance. "We" need not take, but "you" grant "us" all rights to salvage.

V. LOSS CONDITIONS

A. Abandonment. “You” may not abandon the property to “us” without “our” written consent.

B. Appraisal. If “you” and “we” do not agree on the amount of the loss or the actual cash value of Covered Property, either party may demand that these amounts be determined by appraisal.

If either makes a written demand for appraisal, each will select a competent, independent appraiser and notify the other of the appraiser’s identity within 20 days of receipt of the written demand. The two

GBDIC 0202 (05 20)

appraisers will then select a competent, impartial umpire. If the two appraisers are unable to agree upon an umpire within 15 days, "you" or "we" can ask a judge of a court of record in the state where the property is located to select and umpire.

The appraisers will then determine and state separately the amount of each loss.

The appraisers will also determine the value of Covered Property items at the time of the loss, if requested.

If the appraisers submit a written report of any agreement to "us," the amount agreed upon will be the amount of the loss. If the appraisers fail to agree within a reasonable time, they will submit only their differences to the umpire. Written agreement so itemized and signed by any two of these three sets the amount of loss.

Each appraiser will be paid by the party selecting that appraiser. Other expenses of the appraisal and the compensation of the umpire will be paid equally by "you" and "us."

Whether there occurs a demand for an appraisal or an appraisal, "we" will still retain "our" right to deny the claim.

- C. Excess Insurance.** "You" may purchase insurance in excess of the amount(s) stated in the **Declarations**. Such excess insurance will not be considered in the application of any pro rata or apportionment provision.

- D. Insurable Interest.** "We" do not cover more than "your" insurable interest in any property.

E. Loss Payment.

1. In the event of loss or damage covered by this policy, and at "our" option, "we" will either:

- a. Pay the value of the lost or damaged property, or
- b. Pay the cost to repair, replace, or rebuild the property, or
- c. Take all or any part of the property at an agreed or appraised value; or
- d. Repair, rebuild or replace the property with other property of like kind and quality. In the event of a total loss, the building may be rebuilt or replaced at a location other than the "covered location"; however, settlement will be no more than the cost that would have been incurred to rebuild or replace the building at the "covered location." The cost to repair, rebuild or replace does not include the increased cost attributable to enforcement of any ordinance or law regulating the construction, use or repair of any property.

2. In the event of a loss or damage covered by this policy, "we" will determine the value of lost or damaged property in accordance with the applicable terms of section IV. Valuation or any applicable endorsement which amends or supersedes section IV. Valuation. Our liability is then limited to the least of:

- a. The value of the lost or damaged property as determined by "us" in section E. Loss Payment, paragraph 1.a-d above;
- b. The stated values for the Covered Property and Time Element Coverage(s) involved, as shown on the **Schedule of Covered Locations and Values**;
- c. The applicable Limit of Liability shown in the **Declarations** or endorsed onto this policy;
- d. Any applicable sublimit; or
- e. The remaining amount of any applicable Limit of Liability for "Earthquake," "Earthquake Sprinkler Leakage," or "Flood" if coverage for the peril(s) is included and a Limit of Liability is stated in the **Declarations**.

3. "We" will pay any liability due, only after loss or damage exceeds the applicable deductible(s).

4. The most "we" will pay for loss or damage:
 - a. In any one "occurrence" or "single loss" is the "occurrence limit" indicated on the **Declarations**, and
 - b. For all loss or damage occurring during the policy is the "aggregate limit" indicated on the **Declarations**.

F. Notice of Intent to rebuild. You" must give "us" notice of "your" intent to rebuild, repair, or replace lost or damaged covered property within 180 days after the date of loss.

G. Other Insurance.

1. "You" may have other insurance subject to the same terms, conditions and exclusions as those provided under this coverage. If "you" do, "we" will pay "our" share of the covered loss or damage. "Our" share is the proportion that the applicable Limit of Liability under this policy bears to the limits of insurance of all insurance covering on the same basis.
2. If there is other insurance covering the same loss or damage that is not subject to the same terms, conditions and exclusions as those provided under this coverage, "we" will pay only for the amount of covered loss or damage in excess of the amount due from that other insurance, whether or not "you" can collect it. However, in no event will "we" pay more than the applicable Limit of Liability.

H. Loss Adjustment Communications. "We" will adjust all losses with the "first named insured." Payments and other communication will be sent to the "first named insured." An insured loss will be payable 30 days after a satisfactory proof of loss is received, and the amount of the loss has been established either by written agreement with "you" or the filing of an appraisal award with "us."

I. Property of Others. Losses to property of others may be adjusted with and paid to:

1. "You" on behalf of the owner; or
2. The owner(s).

If "we" pay the owner(s), "we" do not have to pay "you." "We" have the right, but not the obligation to defend "you," at "our" expense, against any legal action taken against "you" by the owner(s).

J. Reinstatement of Limits After a Loss. Following an "earthquake" or "flood" loss, "we" have the option but not the duty of reinstating the Limits of Insurance shown in the **Declarations** for "Earthquake," "Flood", or "Earthquake Sprinkler Leakage" for an additional premium.

K. Stated Values.

If at the time of loss, the values shown on the **Schedule of Covered Locations and Values** are not individually stated for each building or business personal property at each location:

1. The value for each building will be developed by multiplying the total reported building value by the proportion that the square footage of the individual building bears to the total square footage of all buildings contemplated in the total reported building value.
2. The value of business personal property at each location will be developed by multiplying the total reported business personal property value by the proportion that the square footage of all buildings at the individual location bears to the total square footage of all buildings at all locations contemplated in the total reported business personal property value.

The square footage of each separate building will be estimated or ascertained after an "occurrence" as necessary. For the purpose of this provision, each coverage marked in the **Declarations**, including: 1. Building, 2. Business Personal Property, 3. "Tenants Improvements and Betterments," and Time Element is deemed to be a separate coverage.

The **Schedule of Covered Locations and Values** includes values "you" have stated in "your" application or submission for this insurance. "Your" stated values are material to this coverage. In the event that the **Schedule of Covered Locations and Values** does not provide a total stated value of one or more separate coverage(s) by location, but rather contains a total stated value for the separate coverage(s) for all locations on the **Schedule of Covered Locations and Values**, then the pro-rata factor for that coverage will be calculated as the square footage of the damaged building divided by the total square footage for all buildings covered under this policy.

Example:

The following example illustrates how a stated value is calculated under the conditions above. The amounts in the example shown may not be applicable to "your" policy. They are being used only to provide "you" with an example. Further, this example is not intended to be limited to determining the stated values of only individual buildings and business personal property, but rather is intended to be applicable to each separate coverage marked in the **Declarations**.

In this example, there are three buildings at one location, with total building values for the location of \$6,000,000 and total business personal property value for the location of \$4,500,000.

	Square	Total	Pro Rata	Location	Building	Location	BPP*
	Footage	Square	Factor	Total	Stated	Total	
	(1)	Footage	(2)	Building	Value	BPP*	Stated
	(1)	Location	(2)	Value	(3)	(1)	(4)
Building 1	12,000	60,000	0.2	\$6,000,000	\$1,200,000	\$4,500,000	\$900,000
Building 2	32,000	60,000	0.533	\$6,000,000	\$3,198,000	\$4,500,000	\$2,398,500
Building 3	16,000	60,000	0.267	\$6,000,000	\$1,602,000	\$4,500,000	\$1,201,500

- (1) As reported on the application or submission.
- (2) The pro-rata factor is calculated by dividing the square footage of each building by the total square footage location, and rounded to the thousandths place.
- (3) The building stated value is calculated by multiplying the pro-rata factor times the location total building value.
- (4) The business personal property stated value is calculated by multiplying the pro-rata factor times the location total business personal property value.

(*BPP= Business Personal Property)

VI. OTHER CONDITIONS

The terms and conditions that follow include promises "you" make to "us" as consideration for the issuance of this policy. "You" and "we" agree that "your" failure to fulfill these promises will cause "you" to give up any claim under the policy and shall make this policy void or voidable.

- A. **All Risk Warranty.** "You" warrant that the property insured is covered and at all times during the policy period will continue to be covered, by standard all risk insurance for the term of this policy, equivalent to Insurance Services Office, Inc. forms CP 0010 and CP 1030 or their equivalent(s) as approved by the insurance department of the state where the predominant exposure is located. All losses under this policy will be adjusted as though such coverage was in effect at the time of loss. It is agreed that "your" failure to

comply with this warranty shall constitute a material misrepresentation and a violation of this warranty and shall make this policy voidable by "us."

- B. Benefit to Others.** Insurance under this policy shall not directly or indirectly benefit anyone having custody of "your" property.
- C. Misrepresentation, Concealment, or Fraud.** This policy is void in any case of fraud by "you" as it relates to this coverage at any time. It is also void if "you" or any other "insured," at any time, intentionally conceals or misrepresents a material fact concerning:
1. This policy;
 2. The Covered Property (including Time Element Coverage);
 3. "Your" interest in the Covered Property; or
 4. A claim under this policy.
- D. Policy Period and Coverage Territory.** "We" cover loss or damage commencing during the policy period shown in the **Declarations** within the coverage territory. The coverage territory is the "state" in which the location(s) described in the **Declarations** is located.
- E. Recoveries.** If "we" pay "you" for the loss and lost or damaged property is recovered, or payment is made by those responsible for the loss, the following provisions apply:
1. "You" must notify "us" promptly if "you" recover property or receive payment.
 2. "We" must notify "you" promptly if "we" recover property or receive payment.
 3. Any recovery expenses incurred by either are reimbursed first.
 4. "You" may keep the recovered property but "you" must refund to "us" the amount of the claim paid or any lesser amount to which "we" agree.
 5. If the claim paid is less than the agreed loss due to a deductible or other limiting terms of this policy, any recovery will be pro-rated between "you" and "us" based on "our" respective interest to recover.
- F. Subrogation.** "We" may require an assignment of rights of recovery for a loss to the extent that payment is made by "us." If an assignment is sought, "you" and any person insured must sign and deliver all related papers and cooperate with "us." If "we" request, "you" will appear in court or sign any documents necessary to assist "us" in perfecting the claim of recovery against any person. To the extent that "we" recover monies in a subrogation claim or action from or against third parties, the monies "we" pay under the terms and conditions of this policy shall be reimbursed to "us" prior to any deductible reimbursements to "you."

VII. DEFINITIONS

- A.** "Aggregate limit" means the total limit of the "company's" liability that applies to all loss or damage regardless of the number of losses or disasters that occur.
- B.** "Certified Acts of Terrorism" means an act that is certified by the Secretary of the Treasury, in concurrence with the Secretary of State and the Attorney General of the United States, to be an act of "Terrorism" pursuant to the federal Terrorism Risk Insurance Act.

- C. "Covered locations" means all locations identified in the **Declarations** or the **Schedule of Covered Locations and Values**.
- D. "Earth Movement" means landslide, mudslide, mudflow, sinkhole or earth sinking, rising or shifting, including "soil" conditions which cause settling, cracking or other disarrangement of foundations or other parts of realty, whether natural or manmade. "Soil" conditions include contraction, expansion, freezing, thawing, erosion, improperly compacted soil, and the action of water under the ground surface. The term "soil" includes, but is not limited to, rock and permafrost.
- E. "Earthquake" means the shaking of the earth's crust that creates seismic waves resulting from the sudden release of accumulated strain by an abrupt shift of rock along a fracture or fault in the earth. "Earthquake" does not mean or include "earth movement," "tsunami," "volcanic action," or "hydraulic fracturing."
- F. "Earthquake Sprinkler Leakage" means a direct physical loss or damage from fire protective equipment, when such "sprinkler leakage" is caused directly by "earthquake."

"Sprinkler leakage" is a leak or discharge of water or other substances within any "automatic sprinkler system" or a direct loss caused by collapse or fall of a tank forming part of such system.

An "automatic sprinkler system" means any automatic fire-protective or extinguishing system, including sprinklers and discharge nozzles; ducts, pipes, valves, and fittings; tanks and their component parts and supports; and pumps and private protection mains. When supplied from an automatic fire-protection system, an "automatic sprinkler system" shall also include non-automatic fire-protective systems; and hydrants, standpipes, and outlets.

- G. "Flood" means a general condition, whether temporary or permanent, of partial or complete inundation of normally dry land areas with water, mud, slurry or other liquid, arising from any of the following:
1. The overflow or breaking of natural or artificial boundaries or confines of inland or tidal waters;
 2. The unusual and rapid accumulation or runoff of surface waters from any source or by their spray;
 3. Waters changing course;
 4. Waters rising;
 5. The release or overtopping of water held by a dam, levee, dike, canal or conduit or by any water or flood control device or system, regardless of location, or from breach or failure, by any cause, of any of the foregoing;

However, "flood" does not include inundation arising from tidal wave or "tsunami."

- H. "Fungus" means any type or form of "fungus," including mold or mildew, and any mycotoxins, spores, scents or by-products produced or released by fungi.
- I. "Hydraulic Fracturing" means the process of creating fractures in rocks and rock formations by injecting water, sand, and/or other chemicals under high pressure into a bedrock formation for the purpose of creating new fractures in the rock or to increase the size, extent, and connectivity of existing fractures.
- J. "Named insured" means the person or entity identified in the **Declarations**, and "insured" means any "named insured" or person or entity listed in the **Named Insured Endorsement**. The "first named insured" means the person or entity named first in the **Declarations**. Only persons or entities with a real property interest in Covered Property are eligible to be "insureds" under this policy.
- K. "Occurrence" means all loss or damage to Covered Property attributable to a Covered Peril, when that loss or damage occurs during the "policy period." Loss or damage caused by a Covered Peril occurring before

the effective date and time of this policy or after the expiration date and time of this policy is not an occurrence as defined in this policy and is not covered.

L. "Occurrence limit" means the limit of the "company's" liability that applies to one loss or disaster, or one series of losses or disasters when constituting a "single loss."

M. "Pollutants" means:

1. Any solid, liquid, gaseous, thermal, biological, or radioactive irritant or contaminant, including acids, alkalis, chemicals, fumes, smoke, soot, vapor, and waste, including but not limited to asbestos, dioxin, or polychlorinated biphenyls. Waste includes materials to be recycled, reclaimed, or reconditioned, as well as disposed of;
2. Electrical or magnetic emissions, whether visible or invisible, and sound emissions.

N. "Single Loss" means:

1. Each loss caused by one "earthquake" or a series of "earthquakes" will constitute a single loss, provided that, if more than one "earthquake" occurs, that series of "earthquakes" must occur within a period of (168) one hundred sixty eight hours during the term of this policy. "We" will not be liable for any loss or damage caused by an "earthquake" occurring before the effective date and time of this policy nor for any loss or damage occurring after the expiration date and time of this policy.
2. Each loss caused by one "flood" or a series of "floods" will constitute a single loss, provided that, if more than one "flood" occurs, that series of "floods" must occur within a period of (72) seventy-two hours during the term of this policy. "We" will not be liable for any loss or damage caused by a "flood" occurring before the effective date and time of this policy nor for any loss or damage occurring after the expiration date and time of this policy.

O. "Sinkhole collapse" means the sudden settlement or collapse of earth supporting the Covered Property into subterranean voids created by the action of water on a limestone or similar rock formation.

P. "State" means one of the 50 states of the United States of American and the District of Columbia.

Q. "Stock" means materials and supplies of every description usual or incidental to "your" operations held in storage or for sale, including supplies used for packing and shipping the "stock," and including the business materials and supplies of others in "your" care, custody or control and for which "you" are contractually liable in the event of direct physical loss or damage.

R. "Tenant's Improvements and Betterments" means fixtures, alterations, installations or additions, made a part of the building "you" occupy but do not own, or made or acquired at "your" expense and which cannot be legally removed by "you."

S. "Terrorism" means an activity that involves a violent act or the use of force, or cyber-terrorism, including the threat of any such activity or the preparation for any such activity, that is committed for political, religious, ideological, economic, social, or cultural purposes, by any person or group(s) of persons, whether acting alone or on behalf of or in concert with or in connection with any organization(s), government(s), or other political entity(ies), and:

1. Has been labeled, identified or described as a terrorist act by the executive branch of the United States government; or
2. Causes either:
 - a. Damage to property;
 - b. Injury to person(s);

3. Disruptions of financial, governmental, transportation, communication, computer or utility services; or
- a. Appears to be intended to:
 - (1) Disrupt any segment of an economy; or
 - (2) Intimidate, harm, coerce or punish a civilian population; or
 - (3) Put the public, or any section of the public, in fear;
 - (4) Influence the policy of a government by intimidation, coercion or punishment; or
 - (5) Affect the conduct of a government by destruction, assassination, kidnapping or hostage-taking.
- T. "Tsunami" means a large wave or series of waves triggered by a major disturbance of the ocean floor caused by an "earthquake," submarine landslide or a volcanic action.
- U. "Valuable Papers and Records" means written, printed or otherwise inscribed documents and records, including books, maps, films, drawings, abstracts, deeds, mortgages and manuscripts, but does not mean money or securities.
- V. "Volcanic action" means the direct loss or damage resulting from the eruption, explosion or effusion of a volcano when the loss or damage is caused by airborne volcanic blast or airborne shock waves, ash, dust or particulate matter, or lava flow. "Volcanic action" includes any related shaking or trembling of the earth, and the cost to remove ash, dust or particulate matter.
- W. "Water damage," means:
1. Sudden or accidental discharge or leakage of water or steam as the direct result of the breaking apart or cracking of plumbing, heating, air conditioning or other systems or appliances containing the water or steam;
 2. Overflow, discharge or leakage through a sewer, sewer pump or drain, or from a sump or related equipment and parts, including the overflow due to sump pump failure or excessive volume of water;
 3. Discharge or leakage from roof drains, gutters, downspouts or similar fixtures or equipment;
 4. Water below the surface of the ground including water that exerts pressure on or flows, seeps, or leaks through sidewalks, driveways, foundations, walls, basement or other floors, or through doors, windows or any other openings in such sidewalks, driveways, foundations, basements, walls, floors, or paved surfaces;
 5. The continuous or repeated seepage or leakage of water or steam, or the presence or condensation of humidity, moisture or vapor;
 6. Freezing and/or thawing;
 7. Any surface water, tidal surges, storm surges, wave washes, or gradual erosion, or
 8. The cost to repair any defect that caused the loss or damage.

GOLDEN BEAR INSURANCE COMPANY

EXTRA EXPENSE COVERAGE FORM

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

Named Insured: Rolling Hills Community Association of Rancho Palos Verdes
Policy Number: GFD03002371-03
Effective Date: June 30, 2025

This endorsement modifies insurance provided under the following:

Difference In Conditions – Property Coverage Part

Various provisions in this coverage form restrict coverage. Read the entire coverage form carefully to determine "your" rights, duties and what is and is not covered.

Words and phrases that appear in quotation marks have special meaning. Refer to Section **VII. DEFINITIONS** of the **Difference In Conditions – Property Coverage Part**.

A. TIME ELEMENT COVERAGE

1. COVERAGE

This policy covers the necessary Extra Expense, as hereinafter defined, incurred by the "Named Insured" in order to continue as nearly as practicable the normal operation of the "Named Insured's" business following damage to or destruction of real or personal property, by the Covered peril(s) insured against during the term of this policy, at a "covered location."

In the event of such damage or destruction, this "Company" shall be liable for such necessary Extra Expense incurred for only such length of time, hereinafter referred to as the "period of restoration," as would be required with the exercise of due diligence and dispatch to rebuild, repair or replace such part of the property herein described as has been damaged or destroyed, commencing with the date of damage or destruction and not limited by the date of expiration of this policy.

It is a condition of this insurance that as soon as practicable the "you" shall resume normal operation of the business and shall dispense with such Extra Expense.

2. EXTRA EXPENSE AND TERMS DEFINED

- a. Extra Expense means necessary expenses you incur during the "period of restoration" that you would not have incurred if there had been no direct physical loss or damage to Covered Property caused by or resulting from a Covered Peril. Coverage pertains to expenses (other than the expense to repair or replace property), which are incurred to:
 - i. Avoid or minimize the "suspension" of business and to continue "operations" at the "covered location" or at replacement premises or temporary locations, including relocation expenses and costs to equip and operate the replacement location or temporary location; or
 - ii. Minimize the "suspension" of business if you cannot continue "operations." We will also pay Extra Expense to repair or replace property, but only to the extent it reduces the amount of loss that otherwise would have been payable under this Extra Expense Coverage Form.
 - iii. Any salvage value of property obtained for temporary use during the period of restoration, which remains after the resumption of normal operations, shall be taken into consideration in the adjustment of any loss hereunder.
- b. The following terms wherever used in this contract shall mean:

- i. "Month" – thirty consecutive days.
 - ii. "Normal" – the condition that would have existed had no loss occurred.
- c. "Operations" means:
 - i. "Your" business activities occurring at the "covered locations."
- d. "Period of Restoration" means the period of time that:
 - i. Begins 72 hours after the time of direct physical loss or damage caused by or resulting from any Covered Peril at the "covered location(s)"; and
 - ii. Ends on the earlier of:
 - a. The date when the property at the "covered location(s)" should be repaired, rebuilt or replaced with reasonable speed and similar quality; or
 - b. The date when business is resumed at a new permanent location.

"Period of restoration" does not include any increased period required due to the enforcement of any ordinance or law that:

- i.. Regulates the construction, use or repair, or required the tearing down of any property; or
- ii. Requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants."

The expiration date of this policy will not cut short the "period of restoration."

- e. "Suspension" means:
 - i. The slowdown or cessation of "your" business activities; or
- f. "Electronic data" means information, facts or computer programs stored as or on, created or used on, or transmitted to or from computer software (including systems and applications software), on hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other repositories of computer software which are used with electronically controlled equipment. The term computer programs, referred to in the foregoing description of electronic data, means a set of related electronic instructions which direct the operations and functions of a computer or device connected to it, which enable the computer or device to receive, process, store, retrieve or send data.

3. ADDITIONAL LIMITATION – INTERRUPTION OF COMPUTER OPERATIONS

- a. Coverage for Extra Expense does not apply when action is taken to avoid or minimize a "suspension" of "operations" caused by destruction or corruption of electronic data, or any loss or damage to electronic data, except as provided under the Additional Coverage – Interruption of Computer Operations.

4. ADDITIONAL COVERAGE

- a. **ALTERATIONS AND NEW BUILDINGS**
 Permission granted to make alterations in or to construct additions to any building described and to construct new buildings on the described premises. This policy is extended to cover, subject to all its provisions and stipulations, Extra Expense resulting from damage to or destruction of such alterations, additions or new buildings while in course of construction and when completed or occupied, provided that, in the event of damage to or destruction of such property (including building materials, supplies, machinery or equipment incident to such construction or occupancy while on the described premises or

within 100 feet thereof) so as to delay commencement of business operations of the Insured, the length of time for which this Company shall be liable shall be determined as otherwise provided herein but such determined length of time shall be applied and the loss hereunder calculated from the date that business operations would have begun had no damage or destruction occurred.

This clause does not waive or modify any of the conditions of the Automatic Sprinkler Clause, if any, attached to this policy.

b. INTERRUPTION OF COMPUTER OPERATIONS

- i. Under this Additional Coverage, "electronic data" has the meaning described in section **E. Definitions** of this coverage form.
- ii. Subject to all provisions of this Additional Coverage, "you" may extend the insurance that applies to Extra Expense to apply to a "suspension" of "operations" caused by an interruption in computer operations due to destruction or corruption of "electronic data" due to a Covered Peril.
- iii. The most "we" will pay under this Additional Coverage – Interruption Of Computer Operations is \$2,500 for all loss sustained in any one policy year, regardless of the number of interruptions or the number of premises, locations or computer systems involved. If loss payment relating to the first interruption does not exhaust this amount, then the balance is available for loss sustained as a result of subsequent interruptions in that policy year. A balance remaining at the end of a policy year does not increase the amount of insurance in the next policy year. With respect to any interruption which begins in one policy year and continues or results in additional loss in a subsequent policy year(s), all loss is deemed to be sustained in the policy year in which the interruption began.
- iv. This Additional Coverage – Interruption in Computer Operations does not apply to loss sustained after the end of the "period of restoration," even if the amount of insurance stated in **3)** above has not been exhausted.

5. LIMITS OF LIABILITY

The most "we" will pay for Time Element coverage provided in this endorsement in any one occurrence is the applicable Extra Expense value stated in the **Schedule of Covered Locations and Values**. Payments made for coverage provided by this endorsement are within the Limits of Liability and will not serve to increase our Limits of Liability shown in the **Declarations**.

In no event will "our" Extra Expense payment exceed the percentage of the applicable value for the "period of restoration" stated below:

- 40% when the period of restoration is not in excess of one month; or
- 80% when the period of restoration is in excess of one month, but not in excess of two months; or
- 100% when the period of restoration is in excess of two months.

6. SPECIAL EXCLUSIONS

This "Company" shall not be liable for any Extra Expense resulting from:

- a. enforcement of any ordinance or law regulating the use, construction, repair or demolition of property;
- b. interference at the described premises, by strikers or other persons, with rebuilding, repairing, or replacing the property or with the resumption or continuation of business; or
- c. the suspension, lapse or cancellation of any lease or license, contract or order beyond the period of restoration.

B. OTHER PROVISIONS

1. **Control of Property:** This insurance shall not be prejudiced by any act or neglect of any person (other than the Insured), when such act or neglect is not within the control of the "Named Insured."

2. **Divisible Contract Clause:** If this policy covers two or more buildings or the contents of two or more buildings, the breach of any condition of the policy in any one or more of the buildings covered or containing the property covered shall not prejudice the right to recover for loss occurring in any building covered or containing the property covered, where at the time of loss a breach of condition does not exist.
3. **Inspection of Property and Operations:** This "Company" and any person or organization making inspections on the "Company's" behalf shall be permitted but not obligated to inspect the Covered Property and operations at any time. Neither the right of this "Company" or any person or organization to make such inspections nor the making thereof nor any report thereon shall constitute an undertaking, on behalf of or for the benefit of the "Named Insured(s)" or others, to determine or warrant that such property or operations are safe or healthful, or are in compliance with any law, rule, or regulation.
4. **Liberalization Clause:** If during the period that insurance is in force under this policy, or within 45 days prior to the inception date thereof, on behalf of this "Company" there be adopted, or filed with and approved or accepted by the insurance supervisory authorities, all in conformity with law, any charges in the form attached to this policy by which this form of insurance could be extended or broadened without increased premium charge by endorsement or substitution of form, then such extended or broadened insurance shall inure to the benefit of the Insured hereunder as though such endorsement or substitution of form had been made.
5. **Other Insurance:** It is a condition of this insurance that if at the time of damage or destruction there are other kinds of insurance which cover in any manner Extra Expense as covered by this policy, then this insurance shall apply only as excess insurance and in no event as contributing insurance, and then only to the amount of Extra Expense over and above the amount due the Insured under such other forms of insurance. In no event, however, shall the liability hereunder exceed the amount of this policy nor a greater proportion of any loss than the insurance hereunder shall bear to all insurance of the same kind, whether collectible or not.
6. **Requirements in Case Loss Occurs:**
 - a. "You" shall give immediate written notice to "us" of any Extra Expense as covered by this policy and protect the property from further damage that might result in extension of the period of restoration; and within 60 days following the date of damage to or destruction of the real or personal property described, unless such time is extended in writing by this "Company," "you" shall render to "us" a proof of loss, signed and sworn to by "you," stating "your" knowledge and belief pertaining to the following:
 - i. the time and origin of the property damage or destruction causing the Extra Expense as covered by this policy,
 - ii. the interest of the Insureds and of all others in the business,
 - iii. all other contracts of insurance, whether valid or not, covering in any manner the loss insured against by this policy,
 - iv. any changes in the title, nature, location, encumbrance or possession of said business since the issuing of this policy, and
 - v. by whom and for what purpose any building herein described and the several parts thereof were occupied at the time of damage or destruction, and
 - vi. shall furnish a copy of all the descriptions and schedules in all policies, and the actual amount of Extra Expense loss claimed, accompanied by detailed exhibits of all values, costs and estimates upon which such amounts are based.
 - b. The Insured, as often as may be reasonably required, shall exhibit to any person designated by this Company all that remains of any property herein described, and submit to examinations under oath by any person named by this Company, and subscribe the same; and, as often as may be reasonably required, shall produce for examination all books of account, bills, invoices and other vouchers, or certified copies thereof if originals be lost, at such reasonable time and place as may be designated by this Company or its representative, and shall permit extracts and copies thereof to be made.

7. **Subrogation Clause:** This insurance shall not be invalidated should the "you" waive in writing prior to a loss any or all right of recovery against any party for loss occurring to the Covered Property.

All other terms and conditions remain unchanged.

GOLDEN BEAR INSURANCE COMPANY

CONDOMINIUM or HOMEOWNERS ASSOCIATION COVERAGE FORM

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies insurance provided under the following:

Difference in Conditions – Property Coverage Part

A. Paragraph 1. BUILDING PROPERTY of Section I. COVERAGE, A. COVERED PROPERTY, is replaced by the following:

1. BUILDING PROPERTY

This means buildings or structures at "covered locations," including:

- a. Completed additions;
- b. Permanently installed:
 - i. Fixtures
 - ii. Machinery; and
 - iii. Equipment;
- c. Outdoor Fixtures;
- d. Personal property owned by "you" that is used to maintain or service the building or structure or its premises, including:
 - i. Fire extinguishing equipment;
 - ii. Outdoor furniture;
 - iii. Floor coverings; and
 - iv. Appliances used for refrigeration, ventilating, cooking, dishwashing or laundering that are not contained within individual units;
- e. If not covered by other insurance:
 - i. Additions under construction, alterations and repairs to the building or structure; and
 - ii. Materials, equipment and supplies, and temporary structures on or within 100 feet of the described premises, used for making additions, alterations, or repairs to the building or structure.
- f. Any of the following types of property contained within a unit, regardless of ownership:
 - i. Fixtures, improvements and alterations that are a part of the building or structure; and
 - ii. Appliances, such as those used for refrigerating, ventilating, cooking, dishwashing, laundering, security or housekeeping.

B. Paragraph 2. BUSINESS PERSONAL PROPERTY of Section I. COVERAGE, A. COVERED PROPERTY is replaced by the following:

2. BUSINESS PERSONAL PROPERTY

This means "your" business personal property in buildings or structures at "covered location(s)" or located in the open (or in a vehicle) within 100 feet of the covered buildings at "covered location(s)," owned:

- a. By "you"; or
- b. Indivisibly by all unit owners.

This includes “your” interest in the labor, materials or services furnished or arranged by “you” on personal property of others.

But “Your” Business Personal Property does not include personal property owned by a unit owner.

C. The following is added to Section III. YOUR DUTIES AFTER LOSS

J. Insurance trustee. If “you” name an insurance trustee, “we” will adjust losses with “you,” but “we” will pay the insurance trustee. If “we” pay the trustee, the payments will satisfy “your” claims against us.

D. The following is added to Section VI. OTHER CONDITIONS

G. Unit Owner’s Insurance:

A unit owner may have other insurance covering the same property as this insurance. The unit owner's insurance is primary. "We" do not cover the unit owner's interest and will not contribute with such other insurance.

All other terms and conditions of this policy remain unchanged.

GOLDEN BEAR INSURANCE COMPANY

DEMOLITION AND INCREASED COST OF CONSTRUCTION COVERAGE FORM

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

Named Insured: Rolling Hills Community Association of Rancho Palos Verdes

Policy Number: GFD03002371-03

Effective Date: June 30, 2025

This endorsement modifies insurance provided under the following:

Difference In Conditions – Property Coverage Part

Various provisions in this coverage form restrict coverage. Read the entire coverage form carefully to determine "your" rights, duties and what is and is not covered.

Words and phrases that appear in quotation marks have special meaning. Refer to Section **VII. DEFINITIONS** of the **Difference In Conditions – Property Coverage Part**.

The coverage provided herein applies only to the building(s) at the location(s) identified below as referenced in the **Schedule of Covered Locations and Values**:

Location 1: 1 Portuguese Bend Rd, Rolling Hills, CA 90274

Location 1: 1 Portuguese Bend Rd, Rolling Hills, CA 90274

Location 1: 1 Portuguese Bend Rd, Rolling Hills, CA 90274

Location 1: 1 Portuguese Bend Rd, Rolling Hills, CA 90274

1. DEMOLITION COST

"We" will pay for the cost of demolishing any undamaged portion of the building(s) listed above including the cost of clearing the site thereof, required because of the enforcement of any state or municipal law or ordinance regulating the construction or repair of buildings and in force at the time of the loss which necessitates such demolition. This coverage will only apply if loss or damage to Covered Property caused by a Covered Peril resulted in the need for demolition of undamaged Covered Property.

2. INCREASED COST OF CONSTRUCTION

"We" will pay the increased cost of repair, rebuilding or reconstruction of the building(s) listed above, with like height, floor area, and style and for like occupancy on the same site when that increased cost is due to the enforcement of the minimum requirements of any state or municipal law or ordinance regulating the construction or repair of a damaged building. This coverage will only apply if loss or damage to the covered building is caused by a Covered Peril.

The most we will pay for any one "loss occurrence" provided under this coverage form is limited to \$215,530. This sum is within the applicable Limit of Liability and is not in addition to available limits.

All other terms and conditions of this policy remain unchanged.

GOLDEN BEAR INSURANCE COMPANY

CONTINGENT LIABILITY FROM OPERATION OF BUILDING LAWS COVERAGE FORM

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

Named Insured: Rolling Hills Community Association of Rancho Palos Verdes

Policy Number: GFD03002371-03

Effective Date: June 30, 2025

This endorsement modifies insurance provided under the following:

Difference In Conditions – Property Coverage Part

Various provisions in this coverage form restrict coverage. Read the entire coverage form carefully to determine "your" rights, duties and what is and is not covered.

Words and phrases that appear in quotation marks have special meaning. Refer to Section **VII. DEFINITIONS** of the **Difference In Conditions – Property Coverage Part**.

The coverage provided herein applies only to the building(s) at the location(s) identified below as referenced in the **Schedule of Covered Locations and Values**:

Location 1: 1 Portuguese Bend Rd, Rolling Hills, CA 90274

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"We" will pay for loss or damage to the buildings identified herein occasioned by the enforcement of any state or municipal law or ordinance in force at the time of the "occurrence," when that law or ordinance which regulates the construction or repair of buildings requires the demolition of any portion of the insured building(s) not damaged by the Covered Peril.

This "Company" shall not be liable under this endorsement for any cost of demolishing or clearing the site of the undamaged portions of the building(s) unless such liability is otherwise specifically assumed by endorsement attached to this policy.

This "Company" shall not be liable under this endorsement for the increased cost of repair, construct or reconstruct due to the enforcement of any state or municipal law or ordinance unless such liability is otherwise specifically assumed by endorsement attached to this policy.

The most we will pay for any one loss occurrence provided under this coverage form is limited to \$2,155,300. This sum is within the applicable Limit of Liability and is not in addition to available limits.

All other terms and conditions of this policy remain unchanged.

GOLDEN BEAR INSURANCE COMPANY

MINIMUM EARNED PREMIUM

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

Named Insured: Rolling Hills Community Association of Rancho Palos Verdes

Policy Number: GFD03002371-03

Effective Date: June 30, 2025

If this policy is cancelled at “your” request, the total premium retained by “us” shall not be less than 25%, or \$2,699. *All fees are fully earned.* However, in the event of a loss caused by a Covered Peril under this policy, the policy premium will be fully earned.

All other terms and conditions of this policy remain unchanged.

GOLDEN BEAR INSURANCE COMPANY

FLOOD ENDORSEMENT

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

Named Insured: Rolling Hills Community Association of Rancho Palos Verdes
Policy Number: GFD03002371-03
Effective Date: June 30, 2025

This endorsement modifies insurance provided under the following:

Difference in Conditions – Property Coverage Part

In consideration of the premium charged, this policy covers direct physical loss or damage to Covered Property resulting from "flood."

"Flood" means a general condition, whether temporary or permanent, of partial or complete inundation of normally dry land areas with water, mud, slurry or other liquid, arising from any of the following:

1. The overflow or breaking of natural or artificial boundaries or confines of inland or tidal waters;
2. The unusual and rapid accumulation or runoff of surface waters from any source or by their spray;
3. Waters changing course;
4. Waters rising;
5. The release or overtopping of water held by a dam, levee, dike, canal or conduit or by any water or flood control device or system, regardless of location, or from breach or failure, by any cause, of any of the foregoing;

However, "flood" does not include inundation arising from tidal wave or "tsunami."

This coverage is subject to all other terms and conditions stated in this policy. The limit of liability for loss or damage caused by the peril of "flood" is stated in the **Declarations**.

"Flood" coverage will not be provided for, and this Policy does not insure against loss or damage caused by or resulting from the peril of "Flood" for any location located wholly or partially within any 100 year flood plain including Zones A, AE, AH, AO, AI through A30, A99, V, VE, VI through V30 as designated by the Federal Emergency Management Agency (FEMA) or the U.S. Corps of Engineers.

All other terms and conditions remain unchanged.

GOLDEN BEAR INSURANCE COMPANY

CALIFORNIA – CANCELLATION AND NONRENEWAL

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies insurance provided under the Difference In Condition - Coverage Part, by adding the following conditions to:

Common Policy Conditions, form GBCPC 0101 (06 14)

H. Cancellation

1. The "first named insured" shown on the **Declarations** may cancel this policy by mailing or delivering to "us" advance written notice of cancellation.
2. **All Policies In Effect For 60 Days Or Less**
If this policy has been in effect for 60 days or less, and is not a renewal of a policy "we" have previously issued, "we" may cancel this policy by mailing or delivering to the "first named insured" at the mailing address shown in the policy and to the producer of record, advance written notice of cancellation, stating the reason for cancellation, at least:
 - a. 10 days before the effective date of cancellation if "we" cancel for:
 - (1) Nonpayment of premium; or
 - (2) Discovery of fraud by:
 - (a) Any insured or his or her representative in obtaining this insurance; or
 - (b) "You" or "your" representative in pursuing a claim under this policy.
 - b. 30 days before the effective date of cancellation if "we" cancel for any other reason.
3. **All Policies In Effect For More Than 60 Days**
 - a. If this policy has been in effect for more than 60 days, or is a renewal of a policy "we" issued, "we" may cancel this policy only upon the occurrence, after the effective date of the policy, of one or more of the following:
 - (1) Nonpayment of premium, including payment due on a prior policy "we" issued and due during the current policy term covering the same risks.
 - (2) Discovery of fraud or material misrepresentation by:
 - (a) Any insured or his or her representative in obtaining this insurance; or
 - (b) "You" or "your" representative in pursuing a claim under this policy.
 - (3) A judgment by a court or an administrative tribunal that "you" have violated a California or Federal law, having as one of its necessary elements an act which materially increases any of the risks insured against.
 - (4) Discovery of willful or grossly negligent acts or omissions, or of any violations of state laws or regulations establishing safety standards, by "you" or "your" representative, which materially increase any of the risks insured against.
 - (5) Failure by "you" or "your" representative to implement reasonable loss control requirements, agreed to by "you" as a condition of policy issuance, or which were conditions precedent to our use of a particular rate or rating plan, if that failure materially increases any of the risks insured against.
 - (6) A determination by the Commissioner of Insurance that the:
 - (a) Loss of, or changes in, our reinsurance covering all or part of the risk would threaten our financial integrity or solvency; or
 - (b) Continuation of the policy coverage would:
 - (i) Place "us" in violation of California law or the laws of the state where "we" are domiciled; or
 - (ii) Threaten our solvency.
 - (7) A change by "you" or "your" representative in the activities or property of the commercial or industrial enterprise, which results in a materially added, increased or changed risk, unless the added, increased or changed risk is included in the policy.
 - b. "We" will mail or deliver advance written notice of cancellation, stating the reason for cancellation, to the "first named insured," at the mailing address shown in the policy, and to the producer of record, at least:
 - (1) 10 days before the effective date of cancellation if "we" cancel for nonpayment of premium or discovery of fraud; or

(2) 30 days before the effective date of cancellation if "we" cancel for any other reason listed in Paragraph 3.a.

4. Notice of cancellation will state the effective date of cancellation. The policy period will end on that date.
5. If this policy is cancelled, "we" will send the "first named insured" any premium refund due. If "we" cancel, the refund will be pro rata. If the "first named insured" cancels, the refund may be less than pro rata. Minimum Earned Premium or short rate may apply. The cancellation will be effective even if "we" have not made or offered a refund.
6. If notice is mailed, proof of mailing will be sufficient proof of notice.

I. Nonrenewal

1. Subject to the provisions of Paragraphs I.2. below, if "we" elect not to renew this policy, "we" will mail or deliver written notice stating the reason for nonrenewal to the "first named insured" shown in the **Declarations** and to the producer of record, at least 60 days, but not more than 120 days, before the expiration or anniversary date.

"We" will mail or deliver our notice to the "first named insured," and to the producer of record, at the mailing address shown in the policy.

2. "We" are not required to send notice of nonrenewal in the following situations:
 - a. If the policy has been extended for 90 days or less, provided that notice has been given in accordance with Paragraph I.1.
 - b. If "you" have obtained replacement coverage, or if the "first named insured" has agreed, in writing, within 60 days of the termination of the policy, to obtain that coverage.
 - c. If the policy is for a period of no more than 60 days and "you" are notified at the time of issuance that it will not be renewed.
 - d. If the "first named insured" requests a change in the terms or conditions or risks covered by the policy within 60 days of the end of the policy period.
 - e. If "we" have made a written offer to the "first named insured," in accordance with the timeframes shown in Paragraph I.1., to renew the policy under changed terms or conditions or at an increased premium rate, when the increase exceeds 25%.

All other terms and conditions of this policy remain unchanged.

GOLDEN BEAR INSURANCE COMPANY

NOTICE TO GOLDEN BEAR POLICY HOLDERS INFORMATION CONCERNING A CLAIM

How to Report a Claim

Insureds may report a claim in one of six ways:

1. Submit an electronic Notice of Claim from our website at www.goldenbear.com (fill out and submit form on the Make a Claim page).

Important note:

If your online claim is received by our office, you will receive a "Thank you for your claim submission" notice. If you do not receive this notice, your claim has not been received. Please resubmit your claim using steps 2, 3, or 4 below.

2. To report a claim by phone:

Call Golden Bear Insurance Company Claims Services at **(209) 948-8191 Ext. 1123** between 8:30 a.m. and 5:00 p.m. Pacific Standard Time.

3. Contact your agent or broker and he or she will complete an ACORD - Notice of Loss form and fax it to Claims Services at (209) 948-3026 or email it to claims@goldenbear.com

4. **Mail:**
Golden Bear Insurance Company
Claims Services, Attn: Notice of Loss
P.O. Box 271
Stockton, CA 95201

5. **Email:** claims@goldenbear.com

6. **Fax:** (209) 948-3026

Should you have a valid claim, we fully expect to provide a fair settlement in a timely fashion.

GOLDEN BEAR INSURANCE COMPANY

If you are not satisfied or feel you are not being treated fairly, you may contact the California Department of Insurance with your complaint and seek assistance from the governmental agency that regulates insurance.

To contact the Department, write or call:

Consumer Services Division
California Department of Insurance
300 South Spring Street
Los Angeles, California 90013

Consumer Hot Line: 1-800-927-4357